

Subject Description Form

Subject Code	AF4325
Subject Title	Wealth Management
Credit Value	3
Level	4
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisites: - Any ONE of the finance theory related subjects - Business Finance (AF3313) - Investment (AF3316) - Corporate Finance (AF4320) - Management of Financial Institutions (AF4322) - Financial Planning (AF4324) - Students should have a basic mathematical background and financial knowledge. - Students should be comfortable with managing MS Excel spreadsheets.
Objectives	This subject introduces the basic principles and skills for wealth management by focusing on math and analytical skills. It covers important concepts for a financial planner and a wealth manager on managing the financial wealth for individual clients. After completing this subject, the student is expected to learn wealth management knowledge, understand the risk profile of clients, understand effective ways to communicate with clients, and integrate economics, accounting and finance concepts in preparing a wealth management report.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Comprehend the principles of wealth management regarding Economics, Accounting, and Finance - Understand the comprehensive view of wealth management - Adopt a six-step financial planning evaluation process in wealth management - Apply personal and risk profiling - Review and learn asset (stock, bond) valuation methods - Understand various aspects of asset allocation strategies
Subject Synopsis/ Indicative Syllabus	- Class intro & wealth management overview - Financial planning component - Profiling and life-cycle analysis - Behavioral finance and wealth management 6 step financial planning evaluation process

	- Investment Techniques I (Stock valuation model, risk measurement) - Investment Techniques II (Bond pricing model, immunization strategy) - Investment Techniques III (Other special topics) - Asset Allocation Strategies I (Investment planning, portfolio performance measurement) - Asset Allocation Strategies II (Empirical evidence and application corner)																																																														
Teaching/Learning Methodology	In addition to exam evaluations, in-class surveys and exercises, individual assignments, and a financial planning report are designed to educate and evaluate students. In-class surveys and exercises: Students are encouraged to participate in surveys and exercises to discuss and review what they learn effectively. Individual assignments: Four Assignments will be assigned to students. Assignments are related to some case studies or simple quantitative analyses. Students can upload their solution by typing it via Microsoft Word, Excel, or scanning their own hand-writing. The due date of a problem set is one week after the problem set is posted. Mid-term report (an integrated essay): Students are required to submit a financial planning report in the middle of the semester. Fictional clients’ quantitative and qualitative information is given. Based on the scenario, students should propose a recommendation for the clients’ wealth management in terms of consumption planning, tax planning, investment planning, and asset allocation strategy to maximize their wealth. The questions are open-ended: there is no specific answer regarding the recommendation. Students may propose a recommendation freely but based on reasonable analysis. The report could be an integrated essay.																																																														
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th>f</th></tr><tr><td>Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Attendance and participation</td><td>10%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Individual assignments</td><td>15%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Mid-term report</td><td>25%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Final Examination (Closed book)</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table>	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e	f	Continuous Assessment	50%							Attendance and participation	10%	√	√	√	√	√	√	Individual assignments	15%	√	√	√	√	√	√	Mid-term report	25%	√	√	√	√	√	√	Final Examination (Closed book)	50%	√	√	√	√	√	√	Total	100 %						
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Student Study Effort Expected	Class contact:	
	▪ Lectures	39 Hrs.
	Other student study effort:	
	▪ Two individual assignments	$6 \times 2 = 12$ Hrs.
	▪ Mid-term report	20 Hrs.
	▪ Self-study	40 Hrs.
	Total student study effort	111 Hrs.
Reading List and References	<i>Recommended Textbook</i> Cheng, Louis, Leung, Tak Yan, and Wong, Yiu Hing, <i>Financial Planning and Wealth Management: An International Perspective</i>, McGraw-Hill, 2009 <i>References</i> Harold R. Evensky, <i>Wealth Management: The Financial Advisor's Guide to Investing and Managing Your Client's Assets</i>, McGraw-Hill, 1996 Frank Fabozzi, <i>Bond Markets, Analysis, and Strategies</i>, Ninth Edition, 2016	